TravelTide Rewards Program

Executive Summary | Customer Insights & Perk Assignment Strategy | April 2026

Purpose & Background

TravelTide engaged this analysis to move beyond generic promotional emails and toward personalized reward offers, giving each customer the one perk they are most likely to respond to. The analysis was commissioned by Elena Tarrant, Head of Marketing, and covers the full active customer cohort of **5,998 users** who completed seven or more platform sessions since January 2023. Five reward perks were evaluated:
Exclusive Discounts, No Change Fees, Free Checked Bags, Free Hotel Meals, and Premium Travel Benefits.

Key Findings

5,998	49,218	$18.8M	~160	0
Cohort Users	Sessions Analyzed	Total Revenue	Data Points / User	Users Unassigned

The most significant finding was not a single metric, it was a pattern:
customer behavior on TravelTide follows a clear five-tier lifecycle, from never-booked users through to loyal high-frequency travelers. Each tier has a distinct behavioral fingerprint, a distinct revenue profile, and a distinct perk that best serves both the customer and the business.

Customer Lifecycle Tiers

Tier	Description	Users	Total Revenue	Avg Spend	Trips/Year	Cancel Rate	% Cohort
Tier 0	Never Booked	522	$0	$0	0.0	—	8.7%
Tier 1	Single Trip	939	$1,218,638	$1,344	2.9	54.5%	15.7%
Tier 2	Two Trips	1,315	$3,407,035	$2,595	5.5	35.8%	21.9%
Tier 3	Established 3–5	2,965	$12,556,581	$4,235	9.0	25.1%	49.4%
Tier 4	Loyal 6–9 trips	257	$1,647,334	$6,410	12.7	17.1%	4.3%
TOTAL	**Full Cohort**	**5,998**	**$18,829,588**	**$3,139 avg**	**—**	**—**	**100%**

Note: Average days since signup ≈ 570 across all tiers — every user had the same window of opportunity to progress. Tier placement reflects behavioral choice, not tenure.

Perk Assignment Results

Every user was assigned exactly one perk based on demonstrated behavioral signals, not demographic assumptions. Assignment uses a lifecycle-gated model: users with fewer than three completed trips receive simplified assignments appropriate to their stage, while users with three or more trips are evaluated across all five behavioral dimensions. Perk assignments are designed to be dynamic, so they update as user behavior evolves.

Perk	Users	% Cohort	Avg Spend	Key Signal
Exclusive Discounts	2,546	42.4%	$2,332	Early-stage; never-booked acquisition hook
No Change Fees	233	3.9%	$1,768	Cancelled spend ≥ 40% of attempted spend
Free Checked Bags	715	11.9%	$3,692	≥ 90% of completed flights international
Free Hotel Meals	221	3.7%	$3,987	Hotel discount rate ≥ 50%; flight disc < 50%
Premium Travel Benefits	2,283	38.1%	$4,490	High frequency, high spend, low discount use

Business Implications

Revenue Concentration:
Top 20% of spenders generate 44% of total revenue ($7,613 avg vs $833 bottom 20%). Retaining Premium Travel Benefits users protects the majority of platform revenue.

Lifecycle Progression Opportunity:
10% of users moving up one tier up = $1,049,937 revenue increase. A two-tier shift = $1,780,927 combined increase, only from existing customers.

Discount Dependency is Minority:
73.7% of bookings use no discount. The perk model targets discounts to users ONLY where behavioral data supports it, protecting revenue.

International Travel Premium:
Intl flights = 38.4% of bookings and a 49% fare premium ($453 vs $350/seat). Intl travelers book 22 days ahead, a high-value segment planning longer lead times.

Peak Booking Window:
Traffic peaks 7PM–9PM daily and 7PM–8PM is the busiest hour (1,584 total). Consider sending promotional emails timed to this window.

Cancellation Risk Concentrated:
Gross cancelled spending = $1,364,992. "High-cancel" (321) & "Total-cancelled" users (88) make a core risk group, targeted by No Change Fees.

Recommended Next Steps

01 A/B Test 30 Day Pilot	Randomly sample 50% of cohort users per perk group. Test group receives one personalized perk email per week for 30 days. Control group receives standard generic promotional email. Average booking lead time is under two weeks — results are measurable within the test window
02 Formalize the Loyalty Tier Program	Make the lifecycle tiers visible to customers as a named loyalty program based on completed (non-cancelled) trips. Tier progression creates a self-reinforcing conversion incentive and a clear narrative for future marketing campaigns
03 Review Cancellation UX	75.9% of cancellation sessions exceed one hour in duration — 56.6% hit the 2-hour system timeout exactly. The cancellation flow does not actively close sessions on completion. An IT fix here reduces data noise and likely improves customer experience.
04 Quarterly Perk Threshold Review	Behavioral thresholds are data-driven and should be reviewed quarterly as user behavior evolves. Key trigger: if cohort expands to EMEA or if cancellation baseline shifts significantly. The 80% international threshold (34 additional users) is the first adjustment candidate for Free Checked Bags.

Methodology note

Data Foundation: PostgreSQL data warehouse from TravelTide source tables. Cohort filtered to 7+ sessions since Jan 4, 2023. Session types classified. Four data anomalies identified and resolved.

Feature Engineering: Five-table intermediate architecture feeding a final user_features table of ~160 behavioral dimensions per user including haversine flight distances and international travel flags.

Pattern Validation: : K-Means clustering across six behavioral dimensions cross-validated against direct SQL threshold analysis — both methods independently converged on the same user populations.

Perk Assignment: Lifecycle-gated rule-based system: Tiers 0–2 simplified assignments; Tier 3+ evaluated across all five dimensions in business-priority order. All 5,998 users assigned. Zero unassigned.

Date Anchor: All calculations anchored to August 19, 2024 (last recorded travel date). No current-date references — ensures full reproducibility of all metrics.